HOORVIA - POSITION SIZING CHART: PRINTABLE TRADING RISK & SIZE GUIDE

Quick Reference Cheat Sheet · A4 Printable

Tech & Software · Sheet #1

Step / Concept	Formula / Rule	Example	Why It Matters
Risk per trade	1-2% of account	$10,000 account -> risk $100-200	One loss never hurts
Position size	Risk $ ÷ (Entry ? Stop)	$100 ÷ $2 = 50 shares	Sizes the trade to your risk
Stop-loss distance	Entry ? Stop price	$50 entry, $48 stop = $2 risk/share	Defines the risk per share
Risk-reward ratio	Reward ÷ Risk	$4 reward / $2 risk = 2:1	Only take 2:1 or better
Max portfolio risk	Total open risk ? 6%	3 trades x 2% = 6%	Correlated losses add up
Account risk cap	Never risk > 2% on one trade	$100 max on a $5,000 account	Survival first
Shares formula	(Account x Risk%) ÷ Stop distance	($10,000 x 1%) ÷ $2 = 50 shares	The core calculation
Lot size (forex)	Risk $ ÷ (pips x pip value)	$100 ÷ (50 pips x $1) = 0.02 lots	Same math, different units
Kelly criterion	f* = (bp ? q) / b	Edge 55%, payoff 1:1 -> f* = 10%	Theoretical max, use half-Kelly
Half-Kelly	Bet half the Kelly size	10% Kelly -> risk 5%	Cuts volatility sharply
Volatility sizing	Size by ATR (14-day)	Wider ATR -> smaller size	Volatile stocks need smaller size
Rebalance	Recalculate after every trade	New account size -> new risk $	Keeps risk constant as you grow

PRO TIP: Risk first, size second: Decide the dollars at risk before you look at the share price - size follows risk.